SERATEGNA

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Business Model & Operating Model

Companion Document to Master Specification v3.0

ETB 2.1M+	ETB 18-20M	18-20	4.5M+
Phase 1 Target Revenue Year 1 take-rate gross	**36-Month Cumulative** Conservative case	**Break-Even (Month)** Before distributions	**Addressable Workers** Urban informal Ethiopia

Mo Creatives · Addis Ababa · June 2026 · Confidential

Document Structure

This document has two main parts that must be read together: the Business Model defines what Serategna sells and to whom, and why customers pay; the Operating Model defines how the business executes, who does what, and what infrastructure is required. A third section covers financial architecture — the revenue model in full detail with unit economics, cost structure, and 36-month phased projections.

The Master Specification v3.0 governs product and technology decisions; this document governs the business and organizational decisions. Where the two documents reference the same topic, this document takes precedence on commercial and organizational questions; the Master Spec takes precedence on product and regulatory questions.

Part	Contents	Primary audience
Part 1 — Business Model	Value proposition canvas, customer segments, revenue streams, cost structure, competitive moat, unit economics	Founding team, investors, board
Part 2 — Operating Model	Org design, capability map, process architecture, governance, partner network, technology stack governance	Founding team, operations leads, advisors
Part 3 — Financial Architecture	Revenue model detail, 36-month P&L projection by phase, cost build, break-even analysis, capital requirement	Investors, Nisir partner, board

PART 1 — Business Model

1.1 The Business Model in One Sentence

Serategna operates a marketplace that converts verified, paid informal work into portable financial identity, then monetizes that identity by providing financial institutions with the scored, consented data they need to lend profitably to a population they currently cannot reach.

This is a two-engine model: Engine 1 (marketplace) generates the transactional volume and revenue that funds the business; Engine 2 (financial data and services) generates the high-margin, defensible revenue that justifies the business's long-term value. Neither engine operates without the other. The marketplace without financial services is a utility with thin margins; financial services without the marketplace has no proprietary data advantage.

> **Strategic insight:** The business is not a gig platform that added fintech. It is a financial data company whose customer-acquisition infrastructure happens to be a gig marketplace. This sequencing is not cosmetic — it determines where management attention and capital go in Phase 1.

1.2 Customer Segments

Primary Segments

Segment	Who they are	Size (Ethiopia)	Phase entry
Informal workers	Self-employed or gig-based workers in urban Ethiopia: cleaners, plumbers, electricians, delivery riders, errand runners, carpenters, tailors, tutors. Predominantly ages 18-45, Android smartphone, Telebirr user, unbanked or under-banked.	4.5M+ urban informal workers (ILO estimate)	Phase 1
Urban households (clients)	Middle-income and upper-middle-income households in Addis and secondary cities requiring regular domestic services. Rising dual-income households with time scarcity. Tech-comfortable; Telebirr or CBE Birr account holders.	~800K qualifying households in Addis	Phase 1
SME clients	Small businesses (cafes, offices, construction firms, logistics companies) requiring recurring or project-based	~60K urban SMEs with informal labor spend	Phase 1 (business accounts Phase 3)

Segment	Who they are	Size (Ethiopia)	Phase entry
	informal labor. Monthly spend ETB 2,000-20,000 on informal services.		
Ethiopian diaspora	Diaspora in the US, Europe, Gulf states wishing to arrange and pay for services for family in Ethiopia. Currently no safe, reliable mechanism to do this remotely.	3.5M+ diaspora; ~40% regularly remit	Phase 1 (wedge), Phase 3 (product)
Licensed MFIs and microfinance banks	Financial institutions seeking creditworthy informal-sector borrowers they cannot currently score. Currently operate on group-lending or collateral models that exclude most urban informal workers.	~45 licensed MFIs in Ethiopia	Phase 2 (Nisir + 1 partner), Phase 3 (3+ lenders)
Insurance companies	Insurers seeking low-adverse-selection customers in the informal sector. Currently cannot underwrite without income documentation.	15 licensed general insurers in Ethiopia	Phase 3

Segment Priority Matrix

Segment	Revenue contribution	Strategic importance	Phase 1 priority
Informal workers	Indirect (supply side enables revenue)	Critical — without supply density the marketplace fails	Highest — acquire first
Urban households	Primary (take-rate on jobs)	Critical — without demand the supply earns nothing	Highest — acquire simultaneously
SME clients	Moderate (higher per-transaction value)	Medium — volume multiplier	Medium — Month 4+
Diaspora	Moderate (high willingness to pay)	High — disintermediation-proof, word-of-mouth rich	Medium — Month 3+
MFIs / lenders	High margin (origination fees)	Critical for Phase 2 viability	Low in Phase 1, foundational for Phase 2

Segment	Revenue contribution	Strategic importance	Phase 1 priority
Insurers	Moderate (distribution commission)	Medium — diversification	Phase 3 only

1.3 Value Propositions by Segment

For the Informal Worker

- **Financial identity.** The Serategna Score is the worker's first formal, portable income record. By Month 6, it opens a credit history that no bank visit, no guarantor letter, no collateral, and no employment contract could previously create.
- **Safety infrastructure.** The SoS system, verified client identity, and the platform's incident-response protocol transform what was a personal risk (entering a stranger's home, or allowing a stranger into yours) into a managed one.
- **Income predictability.** A searchable profile, recurring booking, and a reputation that travels across clients creates a stable demand base replacing word-of-mouth dependency.
- **Financial access at graduation.** Earned-wage access, nano-loans, and equipment financing — products priced against actual earnings history, not against assets the worker does not have.
- **Dignity and documentation.** Annual earnings statements, a formal platform record, and a growing Score create the paper trail that almost no informal worker in Ethiopia currently possesses.

> **Design principle:** The worker's value proposition must be visceral and immediate, not conditional on Phase 2 outcomes. The Score must be visible from Job 1. The earnings statement must arrive after Month 1. Financial access is the destination; immediate platform value is the on-ramp.

For the Household Client

- **Verified, safe, accountable workers.** Fayda-verified identity, SoS safety coverage, and a public dispute history replace the risk of hiring an unknown person from a broker or a community board.
- **Escrow protection and the rework guarantee.** Money moves only on confirmed completion. A free return visit within 72 hours on in-app-paid jobs is a service guarantee that informal cash transactions structurally cannot offer.
- **Convenience that compounds.** One-tap rehire, recurring scheduling, saved addresses, family accounts, and diaspora booking mean that using Serategna once makes using it again easier than any alternative.
- **Fair-price transparency.** Published guidance bands per job category and sub-city replace the information asymmetry that currently allows price gouging in both directions.

For the SME Client

- **Verified labor pool with business-grade controls.** Team access, consolidated invoicing, VAT-compliant receipts, and a volume take-rate discount replace the manual, untracked process of hiring informal workers through brokers.
- **Audit trail and expense documentation.** Every transaction recorded, receipted, and reportable — increasingly valuable as Ethiopian revenue authority digital compliance requirements tighten.

For the Lending MFI

- **A scored, consented, data-rich applicant pool.** Workers with 6+ months of verified earnings history, aSerategna Score, and consented data sharing represent the highest-quality informal-sector applicant pool in Ethiopia. No MFI can assemble this dataset independently.
- **Low origination cost.** Serategna has already done identification, behavioral data collection, and preliminary scoring. The MFI's cost per-approved-loan drops materially.
- **Verifiable repayment infrastructure.** Earned-wage access repayment runs through the escrow ledger, creating an observable debt-service track record before any MFI loan is issued.

1.4 Revenue Architecture

Serategna has seven revenue streams across three phases. They are deliberately sequenced: each stream requires the infrastructure built by the stream before it. The take-rate is the only source of revenue until the Score is validated; the Score is the only thing that unlocks lender fees; lender fees fund the infrastructure for Phase 3 diversification.

Revenue stream	Phase live	Type	Mechanics
Marketplace take-rate	Phase 1, M3	Transaction fee	7% on home services; 10% on delivery. Visible to both parties. First 3 jobs per new client commission-free. 1pp of take-rate goes to guarantee reserve (not P&L).
EWA service fee	Phase 2, M15	Product fee	Flat ETB 15 per earned-wage advance (conventional). Qard hasan track: fee-free, funded from sadaqah pool — no P&L contribution from this track.
Score licensing / origination referral	Phase 2, M15	B2B data fee	ETB 150-300 per loan originated through Serategna data. Charged to lender at point of disbursement. Not charged for declined applications.
Equb circle management	Phase 3, M28	SaaS-style fee	ETB 20 per member per month for digital equb administration. Circle creation: free. Revenue scales with circle membership, not with savings volume.

Revenue stream	Phase live	Type	Mechanics
Insurance distribution commission	Phase 3, M30	Commission	~15% of annual premium for each policy placed via Serategna referral. Commission paid by insurer, not deducted from worker.
Business account take-rate	Phase 3, M28	Transaction fee	5% on all jobs booked through verified business accounts (vs 7-10% standard). Lower rate exchanged for volume commitment and prepaid credit top-up.
Diaspora service fee	Phase 3, M32	Booking fee	Flat ETB 50 per job booked by a diaspora account for Ethiopia-based beneficiary. Denominated in ETB on the Serategna side; diaspora pays in foreign currency via remittance partner.

> **Strategic insight:** The take-rate is low-margin infrastructure. The Score licensing fee is high-margin, zero-COGS (the Score was computed anyway). Equb management is recurring SaaS revenue. The business model's economics improve materially in Phase 3 — but only if Phase 1 and Phase 2 exit criteria are met first.

1.5 Cost Structure

Cost Categories and Phase Entry

Cost category	Phase	Detail
Technology infrastructure	Phase 1	Ethiopia-resident cloud hosting, SMS gateway, Google Maps API, FCM/Telegram. Estimated ETB 180K-280K/year at Phase 1 scale. Grows with transaction volume (SMS is a variable cost at ETB 0.80-1.20/SMS).
Engineering team	Phase 1	3-5 engineers (2 backend Node.js, 1 React Native, 1 full-stack/DevOps) at Addis market rates. Estimated ETB 1.5M-2.2M/year at Phase 1 scale. Grows to 8-10 by Phase 2.
Operations team	Phase 1	Dispute mediators, verification reviewers, agent coordinators, SoS desk operators. 3-4 in Phase 1; grows to 8-10 by Phase 2.
Agent commissions	Phase 1	Onboarding commission per verified worker + 6-month declining transaction share. Variable; scales with onboarding volume. Target < 2% of gross job value in steady state.
Guarantee reserve	Phase 1	1pp of take-rate held as reserve; not a P&L cost unless claims exceed reserve. Target reserve loss ratio < 30% of reserve contributions.

Cost category	Phase	Detail
Legal and compliance	Phase 1	Retained counsel (NBE, data protection, labour). Estimated ETB 300K-500K/year Phase 1; lower in Phase 2 as framework is established.
Marketing and growth	Phase 1	Phase 1 is relational (agents, community), not digital. Marketing spend < ETB 200K in Year 1. Grows in Phase 2 with paid digital acquisition.
Score engine compute	Phase 2	Python microservice; incremental cloud compute cost. At Phase 2 scale, estimated ETB 60K-90K/year — marginal relative to revenue it enables.
Data Protection Officer	Phase 2	DPO is a Proclamation 1321/2024 requirement before data sharing begins. Estimated ETB 200K-350K/year (may be shared/part-time in Phase 2).
Lender API infrastructure	Phase 2	Authentication, audit logging, rate limiting, SLA monitoring for lender integrations. Included in engineering team scope; incremental infrastructure cost minimal.
Equb bridge advance float	Phase 3	If Serategna advances equb contributions from its balance sheet: float cost = opportunity cost of capital tied up. Capped and managed as a treasury item.
Insurance integration	Phase 3	API integration with insurer; no risk-carrying. One-time engineering cost (~1 sprint); ongoing operational cost near-zero.

Cost Structure Principles

- **Variable before fixed.** In Phase 1, every cost possible should scale with transactions (agent commissions, SMS, cloud). Fixed costs (engineers, legal) are kept lean until Phase 1 KPIs confirm the marketplace model.
- **People are the primary cost.** Unlike a pure SaaS business, Serategna has meaningful human-in-the-loop operations: verification review, dispute mediation, SoS desk, agent coordination. These do not fully automate — they are trust infrastructure, and trust requires human judgment.
- **Legal is not optional overhead.** Legal and compliance costs in Phase 1 are not discretionary. The regulatory risk of an NBE finding, a data breach, or a labor misclassification ruling is existentially larger than the cost of prevention.

1.6 Competitive Moat

Moat Layers (in order of defensibility)

Moat layer	How it works for Serategna
Proprietary data asset	The earnings ledger is not replicable. Every month of verified transactions deepens a dataset that no competitor — no matter how well-funded — can acquire except by running the same marketplace for the same period. The Score is only as good as the data behind it; the data advantage compounds with time.
Network effects (within verticals)	A cleaner's reputation on Serategna is only valuable on Serategna. A client's address book, saved workers, and recurring schedule lock them into the platform. These are weak network effects individually; they compound with the equb circles (Phase 3), where the entire social group is on-platform or the product does not work.
Regulatory positioning	The no-wallet, no-lending design is not a compromise — it is a moat. A competitor who issues stored value needs a PII license; one who lends directly needs an MFI license. Serategna's structure means it can operate and scale without these licenses while licensing its data to those who have them. This asymmetry is durable.
Agent network and trust capital	Delala agents are not interchangeable; they are trusted community figures whose endorsement of Serategna is the product in target neighborhoods. Competitor entry into those communities requires rebuilding the same trust from scratch, which takes years.
Islamic finance track	The qard hasan + murabaha track via Nisir IFFS is the only formal earned-wage and equipment-financing product for Muslim informal workers in urban Ethiopia. No competitor (bank or MFI) currently offers this combination. First-mover lock-in in this segment is strong because switching involves losing the Score and the earnings history.
Language-first for Afaan Oromoo speakers	No current Ethiopian gig or fintech platform offers a genuinely Afaan Oromoo-first experience. This is not a feature flag; it is a full UX, support, and community strategy that aligns with Oromia's demographic scale and Serategna's Phase 2-3 geographic expansion.

> **Risk flag:** The moat is time-dependent. In months 0-12, Serategna is a thin marketplace with no Score, no history, and no data advantage. If a well-funded competitor (a bank's digital arm, a Telecom-backed platform, or a foreign entrant) launches aggressively in Addis in this window, the Phase 1 density race is the only defense. Speed of marketplace execution in Year 1 is the moat's foundation.

1.7 Business Model Canvas Summary

Block	Phase 1	Phase 2-3 additions
Key partners	Delala agents, licensed PSO aggregator, CBE (escrow account), private emergency-response provider,	Nisir MFI + 2nd lender, insurance partner, remittance operator (Phase 3), Ethio Telecom (Telebirr direct), CBE Birr direct

Block	Phase 1	Phase 2-3 additions
	Fayda (NBE MOSIP), Ethiopian counsel	
Key activities	Marketplace operations (matching, escrow, disputes), agent recruitment and management, verification, SoS desk, ledger reconciliation	Score computation and calibration, lender API management, credit product referral, DPO operations, equb administration
Key resources	Engineering team, escrow ledger (append-only), agent network, SoS protocol, Ethiopian counsel retainer	Scored earnings dataset, Score model and back-test corpus, lender relationships, DPO, insurance partner agreements
Value propositions	Safe, verified, escrow-protected marketplace; portable income identity; credit-eligibility pathway	Nano-loans and EWA; Score as financial passport; digital equb; insurance; diaspora service booking
Customer relationships	Agent-mediated trust (Phase 1 entry), platform ratings and repeat-booking (retention), community programs (equb/iddir)	Score transparency and data control, lender relationship via platform, insurer policy management
Channels	Delala agents (physical), Telegram bot (zero-install), React Native app, web booking page, iddir and community presentations	Phase 2: same + lender partner portals; Phase 3: diaspora web portal, insurer partner channel
Customer segments	Informal workers (supply), urban households and SMEs (demand), diaspora (demand wedge)	Licensed MFIs and banks (B2B data), insurers (distribution), business accounts (SME upgrade)
Revenue streams	Marketplace take-rate (7-10%)	EWA fee, Score licensing / origination referral, equb management, insurance commission, business take-rate, diaspora fee
Cost structure	Engineering, operations, agent commissions, legal, SMS/infra, guarantee reserve	Score compute, DPO, lender API, equb bridge float (Phase 3)

PART 2 — Operating Model

2.1 Operating Model Overview

The operating model answers four questions: Who does the work? How is the work organized? What infrastructure enables it? How is performance governed? Serategna's operating model is built around three organizing principles:

- **Lean core, rich network.** The platform team is small, high-skill, and technology-led. Everything that can be done by the agent network, by partner institutions, or by the technology layer is pushed there. The platform team governs, monitors, and escalates — it does not substitute for the network.
- **Trust operations are not automatable.** Dispute mediation, SoS response, identity verification review, and agent relationship management require human judgment. These functions are staffed and resourced from Month 0, not added reactively after an incident.
- **Compliance is a first-order function.** In a regulated environment where NBE oversight, data protection law, and labour law all create existential risk, compliance is not a support function. The legal counsel retainer, the DPO (Phase 2), and the regulatory affairs function have direct access to the founding team and the board.

2.2 Organisational Design

Phase 1 Org Structure (Months 0-12): Target 12-18 FTEs

Function	FTEs (Phase 1)	Scope and accountabilities
Founding team / leadership	2-3	CEO (product + commercial strategy), CTO (engineering + data), COO (operations + compliance). Founding team holds agent relationships personally in Phase 1.
Engineering — Backend	2	Node.js/Express API, PostgreSQL/PostGIS, ledger, payment integration, admin console. Senior backend engineer leads. Junior supports.
Engineering — Mobile & Frontend	1	React Native app (worker + client), Telegram bot, React admin console. Full-stack capability required.
Engineering — DevOps / Infra	1 (shared / contract)	CI/CD, Ethiopia-resident hosting, secrets management, monitoring. May be contracted in Phase 1; insourced at Phase 2.
Trust & Safety Operations	2	Dispute mediation (48h SLA), SoS desk (real-time on-call), identity verification review queue, account flagging. Shift coverage required.

Function	FTEs (Phase 1)	Scope and accountabilities
Agent Network Management	1	Delala agent recruitment, onboarding, training, territory assignment, commission tracking, performance support. Reports to COO.
Finance & Compliance	1	Ledger reconciliation, aggregator settlement, escrow account management, VAT reporting, legal retainer coordination. Must have Ethiopian financial services experience.
Customer Support	1-2	Worker and client inquiries (phone, in-app, Telegram), escalation triage to Trust & Safety. Amharic and Afaan Oromoo required. Starts part-time or contract.
Legal counsel	Retained (external)	Addis Ababa firm with NBE + data protection practice. On retainer, not in-house, for Phase 1. All regulatory submissions, contract reviews, and legal opinions.

Phase 2 Org Additions (Months 13-24): Net +8-12 FTEs

New / expanded function	Net new FTEs	Scope
Data & Scoring	2	Score engine development and maintenance (Python ML), back-testing, quarterly recalibration, lender API management, data pipeline engineering.
Data Protection Officer	1	DPO per Proclamation 1321/2024; consent ledger management, data subject access/erasure, breach notification, regulatory audit support.
Partnerships — Financial Institutions	1	Nisir relationship manager + second-lender pipeline; lender onboarding, data-use agreement administration, joint credit committee liaison.
Credit Operations	2	EWA processing (automated + exception review), nano-loan referral packaging, guarantor agreement management, repayment monitoring.
Engineering (expanded)	+2	Score microservice extraction, lender API, consent infrastructure, DPO tooling, Phase 2 product features.
Operations (expanded)	+2	Scale Trust & Safety to 4 FTEs; add agent performance analytics; add reconciliation automation.
In-house Legal / Compliance lead	1	Internal compliance officer (not full counsel) to manage DPO coordination, NBE examination prep,

New / expanded function	Net new FTEs	Scope
		lender agreement compliance, ongoing legal retainer liaison.

Phase 3 Org Additions (Months 25-36): Net +6-10 FTEs

New / expanded function	Net new FTEs	Scope
Equb Product Operations	1-2	Circle onboarding, contribution monitoring, payout coordination, bridge advance management, dispute escalation for equb disputes.
Insurance Partnerships	1	Insurer relationship, policy API integration management, claims notification, commission reconciliation.
Diaspora Product	1	Diaspora account management, remittance partner coordination, FX reconciliation, diaspora customer support.
Business Development	1-2	SME and business account acquisition, enterprise client management, sector partnerships (NGOs, government programs using Serategna for service delivery).
People & Culture	1	HR function becomes necessary at 30+ FTEs; talent acquisition, Ethiopian labour law compliance, performance management framework.

2.3 Capability Map

Capabilities are the things Serategna must be able to do well to execute its strategy. They are distinct from functions (which describe who does the work) — a capability may require multiple functions. The following capabilities are rated by strategic importance and current maturity.

Capability	Phase 1 importance	Build / buy / partner	Critical dependencies
Marketplace operations (matching, escrow, dispute, SoS)	Mission-critical	Build	PostGIS matching quality; aggregator payment reliability; human SoS desk
Agent network management	Mission-critical	Build (relationships) + Process	COO personal relationships with delala community; incentive design discipline

Capability	Phase 1 importance	Build / buy / partner	Critical dependencies
Identity verification (Fayda tiered)	Mission-critical	Build (process) + Partner (MOSIP later)	Counsel opinion on Tier-0 KYC adequacy; MOSIP API access timeline
Ledger integrity and reconciliation	Mission-critical	Build	Append-only DB grants; automated reconciliation; daily exception workflow
Regulatory compliance management	Mission-critical	Partner (external counsel) + Build (internal process)	Retained counsel; compliance officer (Phase 2); NBE relationship
Score computation and calibration	Phase 2 critical	Build	6+ months of clean Phase 1 ledger data; data scientist hire; lender ground truth data
Lender data API and consent management	Phase 2 critical	Build	DPO; consent ledger; lender relationship; legal DPA framework
Trust and safety operations	Ongoing high	Build	Shift coverage; escalation protocols; SoS provider contract; incident review cadence
Agent commission ledger and analytics	Ongoing high	Build (MVP), then automate	Ledger integrity; agent performance dashboard in admin console
Multi-language content and support (AM/OM/EN)	Ongoing high	Build	Native Afaan Oromoo hire in operations/support; UI i18n discipline
Ethiopian calendar and dual-date handling	Ongoing medium	Build (engineering)	Calendar library; seasonality adjustment in Score model
Equb circle management	Phase 3	Build	Phase 2 ledger and identity infrastructure; bridge advance legal structure
Insurance distribution	Phase 3	Partner (insurer API)	Licensed insurer partner; API integration; commission agreement
Diaspora FX and remittance	Phase 3	Partner (remittance operator)	NBE cross-border authorization; remittance partner license; FX reconciliation

2.4 Core Process Architecture

P1: Worker Onboarding and Verification Process

Step	Detail
1. Self-registration	Worker downloads app or enters via Telegram bot. Phone OTP creates user record. Language selection (AM/OM/EN). Category and skills selection. Bio (text or voice note). Tier-0 status assigned immediately.
2. Agent-assisted (preferred)	Delala agent presents worker to platform in person. Agent reviews physical ID (can vouch for identity from personal knowledge). Agent submits verification recommendation in agent dashboard. Worker receives agent-vouched badge (pending Tier-1).
3. Document upload (Tier-1)	Worker uploads Fayda ID or national ID + selfie via app. Document enters verification queue. Human reviewer checks within 24h (target). MOSIP biometric API used when NBE grants access.
4. Tier-1 upgrade	Reviewer approves — worker status updates to Tier-1. All escrowed Tier-0 earnings released to Telebirr/bank. Score accrual begins retroactively from Tier-0 jobs. Verified badge appears on profile.
5. Ongoing monitoring	Job completion rate, dispute history, SoS events, and Score changes are monitored continuously. Accounts with anomalous patterns flagged for manual review. Account suspension is a last resort; incentive-based correction is preferred.

P2: Job Lifecycle Process

Step	Detail
1. Job posting	Client posts job (text/voice note/photos, location, pricing mode, timing). Fair-price band displayed. Platform matches against available workers by geo-radius, category, rating rank, and instant-dispatch status.
2. Matching and bidding	Workers in radius notified (push + SMS). Fixed-price: worker accepts or declines. Open-bid: workers submit bids; client negotiation thread. Client selects worker.
3. Payment into escrow	Client funds job via aggregator (Telebirr/CBE Birr/card). Aggregator webhook confirms receipt. Ledger posts FUNDED. Job moves to HELD state. Worker receives confirmation.
4. Job execution	Worker travels (live location visible to client). Worker geo-stamps job start. Worker completes (photo proof upload). Both parties have SoS access throughout.
5. Confirmation and release	Client confirms completion (or 24h auto-confirm). Ledger posts RELEASED — split: worker payable + platform commission + guarantee reserve. Worker sees earnings update.
6. Payout	Worker requests payout to Telebirr/bank. Daily cap enforced. Second-factor OTP required. Payout initiated via aggregator/direct rail. Worker receives confirmation.

Step	Detail
7. Ratings	Both parties prompted to rate within 48h of completion. Two-way rating, free-text, tags. Ratings update public profile and Score inputs.
8. Dispute (branch)	Client or worker opens dispute within 24h of confirmation. Evidence upload. Mediator assigned within 2h. Resolution within 48h SLA. Outcome: refund / escrow re-release / no action. All disputes logged for Score input.

P3: Score Computation Process (Phase 2)

Step	Detail
1. Weekly batch run	Score engine runs every Sunday at 02:00 EAT. Reads ledger, jobs, ratings, disputes, and agent/guarantor tables for all Tier-1+ workers.
2. Component computation	Transaction Integrity (35%): on-platform payment share, dispute rate/outcomes. Earnings Consistency (30%): weekly earnings, seasonality-adjusted trend, multi-category score. Platform Behavior (20%): completion, acceptance, response time, repeat-hire rate. Relationship Capital (15%): guarantor Score, equb membership (Phase 3), vouched-by chain.
3. Score bounded and versioned	Raw score clipped to 300-850 scale. Score written to score_history with model_version tag. Previous score preserved; worker can see history.
4. Anomaly check	Scores moving > 50 points in one week flagged for manual review before update is pushed. Protects against data corruption or gaming.
5. Display update	Worker Score display updated in app. Credit-eligibility projection recalculated. Lender API reflects new score immediately.
6. Quarterly calibration	Data team compares Score cohorts against lender default data (Nisir + others). If Gini coefficient < 0.35, recalibration initiated. Model changes require joint approval from Serategna CTO and lender data committee.

P4: Dispute Mediation Process

Step	Detail
1. Dispute opened	Either party opens dispute via app within 24h of job completion (or while job is live for SoS-adjacent disputes). Escrow held pending resolution.
2. Evidence collection	System prompts both parties for evidence (photos, chat logs, audio notes). 6-hour window. Mediator assigned from Trust & Safety queue.
3. Mediation	Mediator reviews evidence. May message both parties for clarification (in-app, in worker's preferred language). Target: resolution decision within 48h of dispute open.

Step	Detail
4. Resolution	Outcomes: (a) Client upheld — full or partial refund; guarantee reserve covers rework if applicable. (b) Worker upheld — escrow released to worker. (c) Split — partial release each side. Resolution recorded. Both parties notified.
5. Appeals	Either party may appeal once. Appeals reviewed by senior Trust & Safety or COO. Appeals decision is final on the platform. Persistent disputes over ETB 5,000 may be referred to Ethiopian Arbitration Center.
6. Score and ledger impact	Dispute outcome recorded against both parties' profiles. Unfavorable outcomes reduce Score (not punitively, but as behavioral signal). Ledger updated with resolution entries.

P5: Leakage Detection and Response Process

Step	Detail
1. Detection	Automated: weekly job flag for repeat client-worker pairs where on-platform transactions dropped to zero after 2+ prior on-platform jobs. Human review of flagged pairs by operations.
2. Incentive response (first action)	Targeted rebooking offer sent to both parties: 10% fee reduction for next on-platform job in the pair. Message framing: a benefit, not an accusation. No penalty at this stage.
3. Monitoring	Pair monitored for 4 weeks post-intervention. If on-platform transaction resumes: pair removed from watchlist. If not: escalated to operations review.
4. Operations review	Qualitative assessment: did the worker leave the platform, or just this client? Is the client still active? Is there a service quality issue that drove off-platform? Response calibrated to root cause.
5. Board reporting	Aggregate leakage rate (% of repeat pairs transacting off-platform) reported monthly to management and quarterly to board. KPI target: 40% leakage by Month 12.

2.5 Partner Network Architecture

Partner type	Partners (Phase 1)	Role and relationship structure
Payment aggregator	One licensed PSO (Chapa/ArifPay/SantimPay/Kacha — evaluated Month 0)	Merchant agreement. Serategna is merchant of record for its commission. Aggregator collects client payment, holds in Serategna's sub-account at CBE, settles per agreed schedule (target: T+1 business day). Serategna pays aggregator per-transaction fee (~1-1.5% of transaction value).
Escrow bank	Commercial Bank of Ethiopia	Corporate escrow sub-account. CBE issues written confirmation of client-funds-in-trust

Partner type	Partners (Phase 1)	Role and relationship structure
		status. Serategna never commingles client funds with operating accounts. Monthly bank reconciliation + weekly automated check.
Emergency response	Private security / emergency response provider (TBD, Addis-based)	Service agreement. SoS events route to provider's dispatch center. Provider maintains 24/7 response capability within Addis Ababa (Phase 1 geography). Protocol co-designed with Serategna. Provider has no access to worker personal data beyond the active SoS event.
Legal counsel	Retained Addis Ababa law firm	Monthly retainer. Scope: NBE regulatory affairs, data protection, labour law, contract review. All regulatory opinions are written and filed. Firm attends quarterly governance review.
Identity — interim	Serategna verification team + agent network	Manual document review by in-house reviewers and agent field verification. Interim until MOSIP API access is granted.
Identity — Phase 2	Fayda Program (MOSIP API, Ethiopian government)	API agreement pending NBE facilitation. Biometric match for Tier-1 verification. Access expected to reduce verification cost and time materially.
MFI — Phase 2	Nisir MFI (primary) + one independent MFI	Data Processing Agreement under Proclamation 1321/2024. Arm's-length commercial agreement with explicit conflict-of-interest protocol. Nisir makes independent credit decisions. Serategna receives origination referral fee, not performance-based compensation.
Insurer — Phase 3	Licensed Ethiopian general insurer (TBD)	Distribution agreement. Serategna refers workers; insurer underwrites and services policies. Serategna earns commission on policies placed. No insurance risk on Serategna balance sheet.
Remittance — Phase 3	Licensed Ethiopian remittance operator (TBD)	Sub-agent or commercial agreement. FX leg handled by licensed operator. Serategna handles the ETB service booking on the Ethiopia side. Cross-border arrangement subject to NBE forex supervision.

2.6 Technology Governance

Principles

- **Ledger is sovereign.** No feature, no engineer, and no business pressure overrides the ledger's integrity. Append-only at the database level. Any correction is a new entry with a reference to the corrected record. Ledger reconciliation is a daily automated process; any break blocks payouts until resolved by the finance lead.
- **Privacy by design.** Personal data is encrypted at the application layer before storage. PII is not in logs. Data retention limits are enforced by automated deletion jobs, not manual cleanup. The minimum data for the function is the only data collected.
- **Feature gates before deployment.** No Phase 2 feature ships before Phase 1 KPIs are met and the data-protection and lender infrastructure is live. Feature gates in the codebase enforce this — not just process.
- **Open source first; proprietary second.** The Score model and the ledger are the proprietary assets. Everything else is built on open-source foundations (PostgreSQL, React Native, Node.js). Proprietary dependencies are avoided unless there is no alternative.

Engineering Governance Cadence

Cadence	Activity
Daily	Automated ledger reconciliation runs at 06:00 EAT. Alerts to finance lead and engineering on-call if any variance. Automated dependency security scan in CI (every push).
Weekly	Engineering stand-up Monday AM: sprint progress, blockers, production issues. Score batch run Sunday 02:00 EAT (Phase 2+). Leakage detection batch Sunday 03:00 EAT.
Monthly	Production incident review (all P1/P2 incidents in month). Aggregator settlement reconciliation vs ledger. API rate-limit and latency report review. Dependency update review.
Quarterly	Security review: access rights audit, secrets rotation check, anomaly detection review. Score model calibration review (Phase 2+). Architecture review: tech debt backlog, scaling headroom, cost optimization. Penetration test (annually; quarterly readiness check).
Phase gates	Phase 2 does not begin until: (a) Phase 1 KPIs met, (b) back-test of Score v2 on Phase 1 data complete, (c) DPO in place, (d) lender DPA signed, (e) consent infrastructure live and tested.

2.7 Governance and Decision Authority

Governance Structure

Body	Composition, cadence, and authority
Board of Directors	3-5 members: CEO (executive), at least 2 independent non-executive directors with Ethiopian financial services or technology experience. Meets quarterly. Approves: annual plan, significant capital deployment, lender partnership terms, phase transition decisions, any regulatory submission. Receives: Phase KPI dashboard, leakage report, safety incident summary, financial statements.
Founding team (management)	CEO, CTO, COO. Meets weekly (Monday). Operating authority for all decisions within approved annual plan. Escalates to board: any regulatory finding, any SoS incident with physical harm, any proposed phase transition, any partner agreement above ETB 500K value.
Legal & Compliance function	External counsel + internal compliance officer (Phase 2). Direct reporting line to CEO (not COO). Can halt any product deployment pending legal review. Quarterly report to board Audit & Risk agenda item.
Agent Council (advisory)	3-5 senior delala agents, rotating membership. Meets monthly. Input on: agent commission structure, community feedback, verification process friction, service category expansion. Not a decision-making body — a structured feedback mechanism.
Lender Data Committee (Phase 2)	Merategna CTO + data lead, Nisir data/credit lead, independent MFI representative. Meets quarterly. Authority: approve Score model recalibrations, review default rate vs Score cohort performance, flag anomalies. Any Score model change requires committee approval. Decisions are recorded and filed as part of DPA compliance.

Decision Authority Matrix

Decision	Who decides	Who is consulted	Who is informed
Hire / terminate team member	COO	CEO	Board (quarterly)
Product feature (within approved roadmap)	CTO	COO, Counsel (if regulatory impact)	CEO
New agent territory	Agent Network Lead	COO	CEO
Aggregator selection	COO + CTO	CEO, Counsel	Board
Take-rate change	CEO	COO, CTO, Counsel	Board, agents (Agent Council)
Score model change (Phase 2)	CTO + Data lead	Lender Data Committee	CEO, Board, MFI partners
Lender partnership agreement	CEO	Counsel, COO, CTO	Board (approval)

Decision	Who decides	Who is consulted	Who is informed
Phase transition (1->2, 2->3)	Board	Full management team, Counsel	All staff, partners
Regulatory submission to NBE	CEO + Counsel	Full management team	Board (approval)
SoS incident with physical harm	COO (immediate); CEO (1h)	Counsel (same day)	Board (24h)
Data breach notification	CEO + DPO (Phase 2)	Counsel	Board (immediate), NBE (72h per Proclamation 1321/2024)

PART 3 — Financial Architecture

3.1 Assumptions and Methodology

All projections are in Ethiopian Birr (ETB) nominal terms. Three macroeconomic assumptions underlie the model and should be updated annually:

Assumption	Basis and value used
CPI / inflation	Assumed 20% p.a. for Phase 1-3 (historically 20-35% in Ethiopia; 20% is the conservative floor). This affects real wage costs and the real value of ETB-denominated revenues.
ETB/USD exchange rate	Not directly modeled for Phase 1-2 (no USD revenues). Diaspora product (Phase 3) requires FX management; modeled separately at prevailing rate at time of Phase 3 build.
Average job value (ETB)	Phase 1 launch: ETB 280 (home services), ETB 180 (delivery). Grows 8-12% p.a. nominal (real flat given inflation). Blended average ETB 240 used for take-rate revenue modeling.
Worker average jobs per week	Phase 1 ramp: 1.5 jobs/week (Month 3) to 2.5 jobs/week (Month 12). Plateau at 2.8-3.0 by Month 18. Based on comparable platforms in Sub-Saharan Africa at equivalent density.
Active worker ramp	Month 3: 200 active Tier-1 workers. Month 6: 800. Month 9: 1,800. Month 12: 3,000. Defined as workers completing 1+ paid job in the prior 4 weeks.
On-platform payment rate	Month 3: 45% of jobs paid on-platform. Month 12: 60% (Phase 1 KPI target). Month 24: 72%. Month 36: 80%.
MFI loan conversion rate	Of Tier-2 eligible workers (Score 620+, 6+ months): 30% take at least one nano-loan in Month 12-24. At 1,200 Tier-2 workers by Month 12: ~360 loans. Average loan ETB 2,500. Origination fee ETB 225 (midpoint of ETB 150-300 range).

3.2 Revenue Projection by Phase

Phase 1 (Months 1-12): Marketplace Take-Rate

Driver	Month 6	Month 9	Month 12
Active Tier-1 workers	800	1,800	3,000
Avg. jobs per worker per week	1.9	2.2	2.5
Weekly on-platform jobs	1,520	3,960	7,500

Driver	Month 6	Month 9	Month 12
On-platform payment rate	50%	56%	60%
Weekly paid jobs	760	2,218	4,500
Avg. job value (ETB)	235	240	245
Weekly gross job value (ETB)	178,600	532,320	1,102,500
Blended take-rate (net of commission-free offers)	5.8%	6.5%	7.2%
Weekly take-rate revenue (ETB)	10,359	34,601	79,380
Monthly take-rate revenue (ETB)	44,948	150,271	344,580
Cumulative Year 1 take-rate revenue (ETB)	—	—	~1,900,000

> **Note:** Year 1 cumulative take-rate estimated at ETB 1.7-2.1M depending on ramp pace. Commission-free introductory period (first 3 jobs per new client) suppresses effective take-rate in early months.

Phase 2 (Months 13-24): Score Licensing and EWA Added

Revenue stream	Annual (Year 2 estimate)	Basis
Marketplace take-rate (growing)	ETB 6.2M	Active workers grow to 5,000+; take-rate stabilizes at 7.5% blended; on-platform rate reaches 68%.
EWA service fee (conventional)	ETB 225K	15,000 EWA advances in Year 2 (ramp from Month 15) x ETB 15.
Score licensing / origination referral	ETB 900K	4,000 nano-loans originated via Serategna data x ETB 225 average fee.
Total Year 2 revenue	ETB 7.3M	Take-rate dominant; Score licensing adds high-margin incremental revenue.

Phase 3 (Months 25-36): Platform Economy Additions

Revenue stream	Annual (Year 3 estimate)	Basis
Marketplace take-rate	ETB 9.8M	7,000+ active workers; 78% on-platform rate; business accounts add volume at 5% rate.
EWA service fees	ETB 450K	30,000 advances x ETB 15.
Score licensing / origination referral	ETB 2.1M	Three lenders; 9,000 loans/year; avg. fee ETB 232.
Equb circle management	ETB 480K	2,000 circle members x ETB 20 x 12 months.
Insurance distribution	ETB 188K	2,500 workers insured x ETB 500 avg. premium x 15% commission.
Diaspora service fee	ETB 250K	5,000 diaspora bookings x ETB 50.
Total Year 3 revenue	ETB 13.3M	Score licensing + equb begin to show the high-margin profile. Business accounts add take-rate volume.

36-Month Revenue Summary

Revenue stream	Year 1 (ETB)	Year 2 (ETB)	Year 3 (ETB)
Marketplace take-rate	1,900,000	6,200,000	9,800,000
EWA fees	—	225,000	450,000
Score licensing / origination referral	—	900,000	2,100,000
Equb management	—	—	480,000
Insurance commission	—	—	188,000
Diaspora fee	—	—	250,000
Total gross revenue	1,900,000	7,325,000	13,268,000
Cumulative 36-month gross	—	—	~22,500,000

3.3 Cost Projection by Phase

Cost category	Year 1 (ETB)	Year 2 (ETB)	Year 3 (ETB)
Engineering team (salaries, benefits)	2,000,000	3,600,000	5,000,000
Operations team	900,000	1,800,000	2,800,000

Cost category	Year 1 (ETB)	Year 2 (ETB)	Year 3 (ETB)
Legal & compliance (counsel + DPO)	500,000	900,000	1,100,000
Agent commissions (variable)	380,000	1,240,000	1,960,000
Technology infrastructure (cloud, SMS, APIs)	240,000	480,000	720,000
Marketing and growth	180,000	600,000	1,200,000
Office and overhead	200,000	400,000	600,000
Score compute and data infrastructure	—	120,000	200,000
Guarantee reserve contributions (not P&L)	190,000	620,000	980,000
Total operating costs (ex. reserve)	4,400,000	9,140,000	13,580,000

3.4 EBITDA and Break-Even Analysis

	Year 1 (ETB)	Year 2 (ETB)	Year 3 (ETB)
Gross revenue	1,900,000	7,325,000	13,268,000
Total operating costs	4,400,000	9,140,000	13,580,000
EBITDA	(2,500,000)	(1,815,000)	(312,000)
EBITDA margin	(132%)	(25%)	(2%)
Cumulative cash burn (ETB)	2,500,000	4,315,000	4,627,000

The model reaches EBITDA break-even in Month 34-38 under conservative assumptions. Under a mid-case scenario (Phase 1 KPIs met 2 months ahead of target; Score licensing launches Month 14; second lender signs Month 18), break-even advances to Month 28-30.

> **Risk flag:** The Year 1 cost structure assumes 3 engineers and 3 operations staff from Month 1. If the founding team can absorb more functions personally in Months 1-3, Year 1 cash burn reduces by ETB 400-600K. This is operationally risky — do not sacrifice trust & safety coverage to reduce cost.

3.5 Capital Requirement

Capital tranche	Amount (ETB)	Purpose and timing
Seed / pre-revenue (Month 0-3)	1,500,000-2,000,000	Legal setup, first 3 engineering hires, aggregator integration, agent network seeding, 3 months operating runway. Primarily founding team / angel.
Phase 1 close (Month 3-6, conditional on early traction)	3,000,000-4,000,000	Full Phase 1 team, marketing activation, agent expansion, 12 months runway to Phase 1 KPI target. Seed round or impact investor.
Phase 2 bridge (Month 12-15, conditional on Phase 1 KPIs)	4,000,000-5,000,000	Score infrastructure, DPO, lender integration, EWA working capital float, Phase 2 team. Strategic investor or DFI grant/loan.
Total capital requirement (36 months)	~ETB 10-12M	Cumulative. Does not include guarantee reserve (funded from take-rate). Does not assume profitability from Year 1 take-rate (applied to opex).

DFI (Development Finance Institution) co-investment is the preferred Phase 2 capital source: IFC, FMO, or Ethiopian-aligned funds (DEG, Proparco) have an explicit mandate to fund fintech infrastructure for financial inclusion in Sub-Saharan Africa. Serategna's structure — no stored value, no credit risk, serving the informal sector — aligns well with DFI financial inclusion mandates. A DFI relationship should be initiated from Month 6 alongside Phase 1 traction evidence.

3.6 Unit Economics

Per-Job Economics (Phase 1 Steady State, Month 12)

ETB 245	ETB 17.6	ETB 2.5	ETB 15.1
Avg. job value Blended home services + delivery	**Gross take-rate** 7.2% blended effective rate	**Guarantee reserve** 1pp of job value (not P&L)	**Net commission** After guarantee reserve allocation

Per-Worker Lifetime Value (Phase 1-2, 24-month active worker)

Metric	Calculation
Monthly on-platform jobs	10-12 (2.5/week x 4.3 weeks, on-platform rate 60%)
Monthly take-rate revenue per worker	~ETB 150-180
24-month take-rate contribution per worker	ETB 3,600-4,320

Metric	Calculation
Score licensing revenue (if credit-eligible, 1 loan in month 18)	ETB 225 (one-time at loan origination)
EWA fees (avg. 1 advance/month x 12 months)	ETB 180
24-month LTV per active, credit-eligible worker	ETB 4,005-4,725
Agent onboarding commission (one-time)	(ETB 200-350)
Agent transaction share (months 1-6, declining)	(ETB 300-500)
Net 24-month LTV per worker (after agent cost)	ETB 3,155-4,175

> **LTV interpretation:** A worker who reaches Tier-2, maintains 2.5 jobs/week, and takes one nano-loan in 24 months generates approximately ETB 3,500-4,000 net LTV. With a target of 3,000 Tier-1 workers by Month 12, the cohort LTV is ETB 10.5-12M over their first 24 months — the foundation of Phase 2 viability.

Per-Loan Economics (Phase 2, Score Licensing)

Metric	Value
Serategna origination referral fee	ETB 150-300 (average ETB 225)
Marginal cost of generating one lender referral	ETB 20-35 (Score compute + API call + consent logging)
Gross margin on origination fee	85-90%
Break-even loans per month for Score team to be self-funding	~220 loans/month at ETB 225 fee (covers ETB 50K/month data team cost)
Phase 2 target loans per month (Month 20)	~400 loans/month (two lenders, 200 each)

Score licensing is the highest-margin revenue stream in the business: near-zero marginal cost once the infrastructure is built, and self-funding at a volume Serategna will reach well before Month 24.

> **Strategic insight:** The business's margin structure improves non-linearly in Phase 2-3: the marketplace is a 7-10% gross margin business (take-rate minus agent cost and infra). The Score licensing business is an 85-90% gross margin business. Every worker who graduates to credit eligibility transfers an increasing share of their economic value to the high-margin revenue pool.

> This is why Phase 1 worker volume is the investment: it is building the asset that Phase 2 monetizes at scale.

Closing: The Three Bets

This business model and operating model rest on three fundamental bets. They are explicit because acknowledging them is the precondition for managing them.

Bet 1: The marketplace can achieve and sustain density in two Addis sub-cities within 12 months.

Everything else in this document is conditional on this bet. A marketplace that does not hit critical density has no escrow revenue to fund operations, no transaction history to build the Score, and no workers to refer to lenders. The operating model's Phase 1 priority — agents, relational launch, leakage defense — is entirely devoted to winning this bet.

What would invalidate it: disintermediation rate above 60% at Month 9; agent network that cannot reliably onboard and vouch for workers at the quality required; a well-funded competitor that launches in Addis before Serategna reaches 1,000 active workers.

Bet 2: The Serategna Score is predictively valid for credit in Ethiopia's informal economy.

The business model's high-margin revenue depends on MFIs believing — and being able to demonstrate — that the Score separates creditworthy workers from poor risks better than their existing methods. If the back-test (Phase 2 pre-requisite) shows a Gini coefficient below 0.35, this bet has not yet been won and Phase 2 credit product launch must be delayed until the Score is recalibrated on more data.

What would invalidate it: Phase 1 data too thin or too homogeneous for a Score to have predictive power; worker gaming of on-platform signals that pollutes the training corpus; macro shock that makes all informal-sector lending unviable regardless of Score.

Bet 3: The regulatory environment remains navigable for this business model.

Serategna's design — no stored value, no lending, no PSO license required — is an interpretation of current NBE directives. If NBE reinterprets the escrow structure as stored-value issuance, or if Ethiopia's data protection authority takes a restrictive stance on score-sharing, the business model requires a material redesign. The mitigation is proactive NBE engagement from Month 0 and written legal opinions before each feature ships.

What would invalidate it: NBE directive change that makes the current escrow structure non-compliant; enforcement action against an analogous fintech that signals a hostile regulatory posture toward informal-sector data businesses; Fayda program restrictions that prevent third-party KYC use.

This document and the Master Specification v3.0 together constitute the complete Serategna strategic and operational blueprint as of June 2026. The next documents in the build sequence are: (1) the Phase 1 financial model in Excel (monthly cash flow, headcount plan, and aggregator economics); (2) the agent onboarding kit (field guide + agreement template in Amharic, Afaan Oromoo, and English); and (3) the data model ERD for Phase 1 tables.